

NEW EV POLICY: Will It Kill More Than Two Birds With One Stone?

With China taking the lead in electric vehicle production and sales in many global markets, can India's new electric vehicle manufacturing policy encourage champion brands to set up shop in India? Can this policy be the turning point for India's automobile industry's bid to go global?

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“Tesla is struggling to keep pace with China's BYD in a lot of global markets. It is only natural that the US-based electric vehicle maker needs a big market to stay on top of its game,” was the first thing an executive from a forecast and market research firm said on being asked about what she thinks of India's new EV policy.

Coincidentally, Elon Musk, who said, “Have you seen BYD's car?” a little while ago, has started saying, “If there are no trade barriers established, they (Chinese OEMs) will pretty much demolish most other car

companies in the world!”

India's new electric vehicle policy promises to slash the duties on completely built units (CBUs) of electric vehicles (EVs) from 100% to 15%, but there's a catch. To be able to import and sell CBUs of electric 4-wheelers, the original equipment manufacturers (OEMs) of these companies will have to invest a minimum of ₹4150 crore (approx. US\$500 million) to set up manufacturing base in the country.

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